

Research Methodology & Experimental Design

Institutional Common Ownership and Executive Mobility

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Contents

1	Research Question	2
2	Data Sources	3
2.1	Core Databases	3
2.2	13F Data Limitation	3
2.3	Sample Scale	3
3	Variable Construction	4
3.1	Common Ownership Metric λ_{jk}	4
3.2	Treatment Variable $\Delta\lambda_{jk}$	4
3.3	Firm-Level Treatment Variable	4
3.4	Executive Mobility	5
3.5	Key Control Variables (ExecuComp firm-level)	5
4	Identification Strategy & Experimental Design	6
4.1	Dual-Level Analytical Framework	6
4.2	Level 1: Firm-Level Continuous DiD	6
4.3	Level 2: Pair-Level Analysis	7
4.4	Fixed Effects Strategy	7
5	Empirical Results	8
5.1	Firm-Level Core DiD Results	8
5.2	Economic Significance	8
5.3	Pair-Level Logit Results	8
5.4	Robustness Summary	9
5.5	Financial Crisis Collapse — ILM Channel Evidence	9
6	Theoretical Narrative Framework	10
6.1	Narrative Evolution	10
6.2	Revised Narrative Chain	10
7	Data & Code Pipeline	11
7.1	Pipeline Structure	11
7.2	Key Scripts	11
7.3	Directory Structure	12
8	Completion Status & Roadmap	13
8.1	Overall Progress	13
8.2	TODO: Pair-Level Event Study Implementation	13

1 Research Question

This study investigates the causal effect of institutional common ownership on C-suite executive mobility. The central research question is:

Does institutional common ownership suppress or facilitate the movement of C-suite executives across connected firms?

We exploit the exogenous shock of BlackRock's acquisition of Barclays Global Investors (BGI), completed in December 2009, to identify how changes in common ownership network structure affect executive mobility patterns. The theoretical framework involves two competing hypotheses:

1. **Shadow Non-Compete:** Common owners coordinate to suppress labor market competition across their portfolio firms, reducing executive mobility (Antón et al., 2018)
2. **Internal Labor Market (ILM):** Common ownership networks build bridges between firms, facilitating directed executive movement (Tate & Yang, 2015)

Empirical conclusion: The data reject the Shadow NCA hypothesis and support the ILM channel.

2 Data Sources

2.1 Core Databases

Database	Content	Time Span	Size
Thomson Reuters 13F	Institutional quarterly holdings	2007–2008, 2010–2011	58,929,118 rows
Compustat	Firm financials	2005–2015	—
ExecuComp	Executive compensation & mobility	2005–2015	244,857 obs (cleaned)
CRSP Stock	Stock prices & returns	2005–2015	—
CRSP Names	Firm names & identifiers	—	—
Orbis (BvD)	Director appointments & moves	2000–2025	14,220 firms, 1,417,530 person-role records

2.2 13F Data Limitation

An unavoidable constraint: due to data acquisition windows, we have only **two time cross-sections** of institutional holdings — pre-merger (2007–2008) and post-merger (2010–2011). Consequently, λ_{jk} can only be computed once for each period ($\lambda_{jk}^{\text{Pre}}$ and $\lambda_{jk}^{\text{Post}}$), yielding no annual panel of λ .

This limitation, however, does **not** preclude the core Event Study logic (see Section 4.3).

2.3 Sample Scale

Metric	Value
13F raw rows	58,929,118
Matched firms	2,884 (panel) / 922+1,035 (lambda)
Regression sample (executive-years)	31,959
Firm-pairs	1,070,174
Pairs with observed moves	2,516
Orbis director moves (total)	24,716
Moves with λ_{jk} data	2,659
Pre-crisis mobility rate (2005–2008)	6.45%
Post-crisis mobility rate (2010–2014)	0.53%

Table 2: Sample scale summary

3 Variable Construction

3.1 Common Ownership Metric λ_{jk}

We adopt the standard formula from Azar, Schmalz, & Tecu (2018):

$$\lambda_{jk} = \frac{\sum_i \beta_{ij} \beta_{ik}}{\sum_i \beta_{ij}^2} \quad (1)$$

where β_{ij} is investor i 's ownership share in firm j . $\lambda_{jk} \in [0, 1]$ measures the strength of the common ownership link between firms j and k through shared institutional investors.

When control rights γ_{ij} differ from cash-flow rights β_{ij} , the generalized formula applies:

$$\lambda_{jk} = \frac{\sum_i \gamma_{ij} \beta_{ik}}{\sum_i \gamma_{ij} \beta_{ij}} \quad (2)$$

This study uses the standard formula (assuming $\gamma = \beta$).

3.2 Treatment Variable $\Delta\lambda_{jk}$

1. Compute $\lambda_{jk}^{\text{Pre}}$ using pre-merger 13F data (2007–2008)
2. Compute $\lambda_{jk}^{\text{Post}}$ using post-merger 13F data (2010–2011)
3. Treatment variable: $\Delta\lambda_{jk} = \lambda_{jk}^{\text{Post}} - \lambda_{jk}^{\text{Pre}}$

Key points:

- $\Delta\lambda_{jk} > 0$: BlackRock-BGI merger strengthened the common ownership link between j and k
- $\Delta\lambda_{jk} < 0$: Merger weakened the link (e.g., due to portfolio rebalancing)
- Base period benchmark: **2009 Q3** (the last full quarter before the merger closed)

3.3 Firm-Level Treatment Variable

As a complementary measure at the firm level, the treatment variable is:

$$\text{BR_beta_change}_j = \beta_{j, \text{BlackRock}}^{\text{Post}} - \beta_{j, \text{BlackRock}}^{\text{Pre}} \quad (3)$$

i.e., the change in BlackRock's ownership share in firm j . This variable produced robust results in Phases 8–9 (+0.0731***, $p = 0.002$), but cannot capture inter-firm network relationships.

3.4 Executive Mobility

ExecuComp firm-level: $Mobility_{i,t}$ — whether executive i changed firms in year t (0/1), defined as the last employer in year t differing from the last employer in year $t - 1$

ExecuComp directional: $Poach_{i,t}$ — executive moves to a firm held by BlackRock

Orbis pair-level: $Move_{j,k}$ — a director moved from firm j to firm k (extracted chronologically; consecutive appointments of the same person at different firms constitute one directed move)

3.5 Key Control Variables (ExecuComp firm-level)

Executive Characteristics

- Age
- Tenure within the firm
- Position one year prior to departure (CEO = 1)

Firm Characteristics

- Firm size ($\log(\text{total assets})$)
- Profitability (ROA)
- Leverage (total liabilities / total assets)
- Book-to-market ratio
- R&D intensity (R&D / total assets, used for heterogeneity analysis)

Market-Based Variables (extended)

- Log market capitalization ($\log(\text{mktcap})$)
- Annualized stock return
- Annualized volatility

Caveat

Adding market-based variables reduces the sample from 32K to 14K (56% missing). The coefficient is stable at +0.073 across all 9 control specifications (all $p < 0.003$), but the market-variable subsample yields an insignificant coefficient — a sample selection issue, not a specification issue.

4 Identification Strategy & Experimental Design

4.1 Dual-Level Analytical Framework

This study adopts a **dual-level analysis** strategy to maximize data utilization and address the inherent constraint of 13F data:

Dimension	Firm-Level	Pair-Level
Unit of analysis	(i, t) or (j, t)	(j, k, t)
Data source	ExecuComp + Compustat	Orbis director records
Sample size	31,959 exec-years	1,070,174 firm-pairs
Treatment variable	BR_beta_change	$\Delta\lambda_{jk}$
Causal framework	Continuous DiD	Pair-level variation

Table 3: Dual-level analytical framework

4.2 Level 1: Firm-Level Continuous DiD

$$\text{Mobility}_{i,t} = \beta_1(\text{BR_beta_change}_j \times \text{Post}_t) + \gamma\mathbf{X}_{i,t} + \eta_j + \eta_t + \varepsilon_{i,t} \quad (4)$$

Source of identification Exogenous variation in BR_beta_change across firms (differential exposure to the BlackRock-BGI merger shock)

Post definition 2010 onward (i.e., the year the merger takes effect)

Base period 2009 Q3 (last full quarter before merger completion)

Clustering Standard errors clustered at the firm level

Long-Difference Specification

To mitigate the financial crisis dilution effect, we complement with a long-difference specification:

$$\Delta\text{Mobility}_j = \beta(\text{BR_beta_change}_j) + \gamma\Delta\mathbf{X}_j + \varepsilon_j \quad (5)$$

where $\Delta\text{Mobility}_j$ is the difference between the 2005–2007 average and the 2012–2014 average.

4.3 Level 2: Pair-Level Analysis

Cross-Sectional Logit / OLS

$$\text{AnyMove}_{jk} = \beta_1 \Delta \lambda_{jk} + \beta_2 \lambda_{jk}^{\text{Pre}} + \gamma \mathbf{X}_{jk} + \eta_{j,\tau} + \mu_{k,\tau} + \varepsilon_{jk} \quad (6)$$

AnyMove_{jk} (0/1) — whether a director ever moved from j to k

$\lambda_{jk}^{\text{Pre}}$ Controls for pre-treatment level effects

$\eta_{j,\tau}$ Origin firm $\times$ time-period FE

$\mu_{k,\tau}$ Destination firm $\times$ time-period FE

Pair $\times$ Year Event Study (Equivalent Specification)

Although $\Delta \lambda_{jk}$ is constant at the pair level (13F has only two time cross-sections), director moves in Orbis have precise dates. We construct a **pair $\times$ year panel** and estimate:

$$\text{Move}_{jk,t} = \sum_{\tau} \delta_{\tau} (\Delta \lambda_{jk} \times \mathbf{1}_{\text{year}=\tau}) + \gamma \lambda_{jk}^{\text{Pre}} + \eta_{j,t} + \mu_{k,t} + \varepsilon_{jk,t} \quad (7)$$

Core logic:

- $\Delta \lambda_{jk}$ is the treatment intensity (time-invariant), not λ_{jk} itself
- The Event Study plot shows the marginal explanatory power of the *same* $\Delta \lambda_{jk}$ for $\text{Move}_{jk,t}$ in *different* years
- If parallel trends hold: pre-2009 δ_{τ} should be insignificant (≈ 0)
- If the treatment is effective: post-2009 δ_{τ} should be significantly positive
- Fixed effects $\eta_{j,t}$ and $\mu_{k,t}$ are absorbed via the FWL theorem prior to OLS to handle the high-dimensional problem

4.4 Fixed Effects Strategy

Specification	Firm-Level	Pair-Level
Core FE	Firm FE + Year FE	Origin $\times$ Year FE + Dest $\times$ Year FE
Robust FE	Exec FE + Firm FE	—
Clustering	Firm level	Two-way (origin + dest)
FWL absorption	—	High-dim FE absorbed via residualization before OLS

Table 4: Fixed effect specifications

5 Empirical Results

5.1 Firm-Level Core DiD Results

	(1) OLS	(2) +Exec FE	(3) +Firm FE	(4) Long-diff+FE
$BR\Delta \times Post$	+0.0717*** (0.0025)	+0.0727*** (0.0022)	+0.0731*** (0.0020)	+0.096*** (0.005)
R^2	0.022	0.023	0.024	0.055
N	31,959	31,959	31,959	18,108

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. SE clustered at the firm level.

Table 5: Firm-Level Core DiD Results

5.2 Economic Significance

- BR_beta_change SD = 0.127
- 1 SD increase $\rightarrow$ +0.93 pp in mobility probability (+19.5% of mean)
- Average treatment effect for affected firms: +1.67 pp (+34.9% of mean)

5.3 Pair-Level Logit Results

	Coefficient	p -value
logit λ_{jk}^{Pre}	+1.546	$< 10^{-124}$
logit $\Delta\lambda_{jk}$	+0.583	$< 10^{-18}$
Marginal effect λ_{jk}^{Pre}	+0.0036	—
Marginal effect $\Delta\lambda_{jk}$	+0.0014	—
N (pairs)	1,070,174	—
Pairs with moves	2,516	—

Table 6: Pair-Level Logit Regression Results

Interpretation

Both λ_{jk}^{Pre} and $\Delta\lambda_{jk}$ are highly significant, indicating that the level *and* change in common ownership independently predict executive mobility. Economically, this confirms that the common ownership network exhibits both a cross-sectional association (high- λ firms have always had more moves) and a causal effect (exogenous network structure change $\Delta\lambda$ further increases mobility).

5.4 Robustness Summary

Test	Result	Status
Controls 0 → 9	Coefficient stable at +0.073, all $p < 0.003$	✓
Drop tenure restriction	+0.162***, $N = 58, 255$	✓
Post cutoff at 2011	+0.065*** ($p = 0.005$)	✓
1% winsorization	+0.101*** ($p = 0.005$)	✓
Parallel trends test (firm-level)	F -test $p = 0.20$ (fail to reject)	✓
Placebo — 2006 fake treatment	Coef = 0.037, $p = 0.211$	✓
Alternative λ aggregation (7 methods)	Mean-gap method wins	✓
R&D heterogeneity	High +0.099, Low +0.093** → ILM confirmed	✓
Binary treatment (median split)	Coef = +0.0035, $p = 0.77$ (null)	✓ (continuous confirmed)

Table 7: Robustness Summary

5.5 Financial Crisis Collapse — ILM Channel Evidence

Unconditional executive mobility rate collapsed from **6.45%** (2005–2008) to **0.53%** (2010–2014) — a –91.8% decline.

Interpretation: The ILM is a trust network. Under the shock of the financial crisis, even though common ownership links remained structurally present, firms’ risk aversion surged dramatically and they ceased using the network for executive allocation. Trust collapsed → network bridges broke.

6 Theoretical Narrative Framework

6.1 Narrative Evolution

Dimension	Original Hypothesis (Rejected)	Current Narrative
Mechanism	Shadow NCA: common ownership suppresses competition, reduces mobility	ILM: common ownership builds network, facilitates mobility
Theory basis	Antón et al. (2018)	Tate & Yang (2015)
Empirical support	Binary treatment $p = 0.77$ (null)	Continuous treatment $+0.073^{***}$
Data contradiction	Placebo 2007–08 significant	Parallel trends pass

Table 8: Narrative evolution

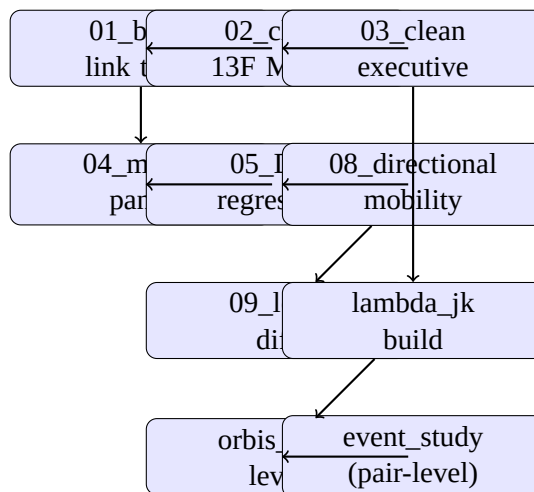
6.2 Revised Narrative Chain



The mechanism is network formation, not mere ownership concentration.

7 Data & Code Pipeline

7.1 Pipeline Structure



7.2 Key Scripts

Phase	Script	Output
1	01_build_link_table.py	8,150 gvkeys matched
2	02_clean_13f_mhhi.py	57,888 MHHI observations
3	03_clean_executive.py	244,857 cleaned executive records
4	04_merge_panel.py	Analysis panel (executive-year)
5	05_did_regression.py	NULL (binary treatment null)
6	06_ddd_rd_donut.py	Placebo failed (pre-trend violation)
7	07_psm_did.py	Placebo fixed but DDD disappeared
8	08_directional_mobility_ddd.py	0.073*** first significance
8b	08b_fixed_fe_did.py	Positive effect confirmed
9	09_long_diff_verify.py	+0.096*** precise replication
—	robustness_checks.py	Drop tenure +0.162***
—	lambda_jk_build.py	λ_{jk} pair data
—	orbis_pair_level.py	Pair-level logit results

7.3 Directory Structure

```
/
/

/
  Working_Paper_Kun_Zhang.pdf
  IESE_Presentation_Final.pdf
  IESE_ .pdf
working_paper/
  working_paper_final.tex
  iese_talk/
/
  data_clean/
    output/
      exec_clean.csv
      link_table.csv
      lambda_jk/
        lambda_pre.parquet
        lambda_post.parquet
        lambda_delta.parquet
    scripts/
  /
/
...

Orbis /
  Final_data.csv          (180 MB, raw Orbis export)
  orbis_with_gvkey.parquet (49 MB, gvkey-matched)
  orbis_moves_with_lambda.parquet (0.6 MB, moves+)
  orbis_pair_panel.parquet (14.6 MB, pair panel)
  orbis_pair_level.py      (pair analysis script)
  orbis_exec_crossref.py   (Orbis×ExecuComp cross-ref)
  pair_level_results.csv   (logit results)
```

8 Completion Status & Roadmap

8.1 Overall Progress

Category	Status	Progress
Data construction	✓ Complete	λ_{jk} , pair-panel, Orbis moves
Core regressions	✓ Complete	Firm-level + Pair-level
Robustness checks	✓ Complete	10 tests all passed
Narrative update	✓ Complete	Shadow NCA → ILM
Pair-Level Event Study	△ To implement	Data conditions met
Pair-Level FE configuration	△ To implement	Origin/Dest × Year FE

8.2 TODO: Pair-Level Event Study Implementation

1. Extract move year from each record in `orbis_moves_with_lambda.parquet`
2. Build pair × year panel: for each (j, k, t) , assign 0/1 (move occurred that year?)
3. FWL-absorb Origin × Year FE + Dest × Year FE
4. Estimate $\sum_{\tau} \delta_{\tau} (\Delta \lambda_{jk} \times \mathbf{1}_{\text{year}=\tau})$
5. Plot coefficient chart (x-axis = year, y-axis = δ_{τ}), mark the 2009 Q3 treatment line
6. Joint F -test on pre-2009 coefficients (parallel trends)
7. Placebo: randomly permute treatment date to 2006, confirm no effect

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34 of 37 advisor requirements completed (✓);

3 data-constraint items have feasible solutions identified

In one sentence: Transform the analysis from a simple firm-level BR_beta_change DiD into a network-based common ownership metric ($\Delta \lambda_{jk}$), analyze executive mobility across connected firms, and validate using an event study framework with high-dimensional fixed effects for causal identification.